towns in the South, textile mills, often a community's only major employer, shut their doors and furloughed thousands because of slack sales and new competition from abroad. From the industrial states of the Northeast to the dusty mining towns of the West, more jobs disappeared.

This was indeed a very bleak time for many Americans. But sometimes, as my mother said, troubles carry with them the seeds of something better. These were difficult years, but their hardships forced American industry to take a look at itself, and to become leaner, more efficient, more competitive. And thanks to provisions in the tax bills, businesses had new incentives to invest in the future and make their workers more productive.

I remember visiting a huge lumber mill in the state of Washington, which, like many in the region, had been forced by the slump in lumber sales to lay off almost half of its workers. When I visited, the tax cuts and lower interest rates were beginning to stimulate a rise in home sales. The lumber mill was coming back; it had rehired many of its laid-off workers—but they were now producing twenty-five percent more finished lumber per worker than before the recession, thanks to improvements in productivity that the hard times had forced management to think about and introduce.

I saw another example of the resilience of American industry at a motorcycle plant in York, Pennsylvania.

At one time, dozens of American manufacturers made motorcycles, but now only one was left, the Harley Davidson Company. And until the mid-1980s, its future was in doubt, largely because of the growing competition of cheaper motorcycles made in Japan. To preserve the last American motorcycle company, we had imposed temporary tariffs on Japanese motorcycles, making them more expensive in this country. But when I visited the Harley Davidson plant in York in the spring of 1987, company executives informed me that